Predictors of Earnings Risk with Machine Learning

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Abstract

This paper looks at the predictors of lifetime earnings risk under a Restricted Income Profile (RIP) model using traditional and machine learning methods such as lasso and SHAP values. The paper builds on the work of Drewianka and Oberg (2025) which uses a moment condition approach derive a parameter that captures permanent income risk. The paper finds that education and age are important in explaining lifetime earnings risk. The paper also finds that macroeconomic variables such as probability of recession and real GDP growth are important and along with state controls may further imply a role of government policy. Finally, the paper finds that occupation controls are important while industry controls do not appear to play a strong role.

Keywords: machine learning, restricted income profile, earnings instability, risk
JEL Codes: D8, J0, D3

1. Edit Introduction
2. Redo Theoretical Framework
3. Edit Data
4. Edit Empirical Strategy
5. Rewrite Results
6. Rewrite Conclusion
7. Consistent formatting of bibliography
8. Use old sections as well as suggested edits as an outline for rewritten sections
9. Lasso tables don't include ordering of FE groups

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1 Introduction

Understanding the nature of earnings risk is central to both individual decision making and policy. People are often thought to be risk averse not risk neutral and therefore earnings risk has an effect on how individuals make intertemporal decisions such as saving. Especially on the analysis side, structural life cycle models have to make assumptions about the nature of earnings dispersion and risk. Misspecifying the earnings process can lead to inaccurate or incorrect conclusions in many cases and this is why understanding the nature of earnings risk and the earnings process is so important.

To better pin down the quantitative importance of shocks versus profile heterogeneity, this paper builds on the work of (Drewianka and Oberg 2025, 2019) [5, 6] which uses a moment condition approach to test for heterogeneity in expected income processes. The paper uses a Restricted Income Profile (RIP) model to estimate lifetime earnings risk and then tests for heterogeneity in expected income processes using a moment condition approach.

Restricted Income Profile (RIP) models posit that all individuals with the same observed characteristics follow the same earnings trajectory. Deviations then being attributed to shocks to the individuals income process. In RIP, dispersion is then attributed to the variance of these shocks. (Abowd and Card, 1989; Meghir and Pistaferri, 2004) [1, 13] This means that the variance of shocks and variance in observed characteristics are sources of dispersion in earnings. Some of the variance is due to shocks the rest of the variance is due to the different expected income processes. (Guvenen 2007; Baker 1997) [7, 2]

This paper tests for predictors of lifetime earnings risk as parameterized by the model in Drewianka and Oberg (2025) [5]. The paper hopes to find which characteristics are important in explaining the variance of shocks in the RIP framework.

This paper finds that education and age are important in explaining lifetime earnings risk. The paper also finds that macroeconomic variables such as probability of recession and real GDP growth are important and play at least a small role and that the inclusion of state controls may further the hypothesis of government policy playing a role. Finally, the paper finds that occupation controls are important while industry controls do not appear to play a large role.

This paper contributes to multiple strands of literature. The first is the literature around (RIP) models and their use in life cycle models. (MaCurdy 1982; Abowd and Card 1989; Hryshko 2012). [12, 1, 10] In addition to that it also contributes to a second strand of literature focusing on lifetime earnings risk. (Drewianka and Oberg 2025; Guvenen 2007; Meghir and Pistaferri 2004). [5, 8, 13] Finally the paper contributes to the literature on machine learning and its use in economics by utilizing neural networks and SHAP values to

interpret the results (Lundberg and Lee, 2017). [11]

The rest of the paper is structured as follows. Section 2 discusses the model and data, Section 3 discusses the empirical strategy, Section 4 discusses the results, and Section 5 concludes the paper.

1. preview the results at the end
2. Also preview the methods used a little more
3. Spend a little more time explaining the contribution of this paper specifically, in both using some fancier methods and to identify covariance with this risk, but also the importance of being able to characterize people who are at an elevated risk in both permanent and transitory horizons

2 Theoretical Framework

3 Data

The data used is the 1970-2023 waves of the Panel Study of Income Dynamics (PSID 2023). [14] The sample is of men between the ages of 22 and 69 with students being excluded. Many of the men in the sample come from the Survey of Economic Opportunity which has been shown to be representative of the main PSID sample (SEO; Hill 1992; Drewianka 2010). [9, 4] Income is calculated in 2015 dollars using the Consumer Price Index (CPI 2017). [3] The analysis uses several key variables, including education (categorized as less than high school, high school or some college, and bachelor's degree but less than a master's degree), age (with higher-order polynomial terms Age^2 and Age^3 to capture non-linear effects), and macroeconomic indicators such as the probability of a recession (P(Recession)) and real GDP growth. Individual-specific variables include fixed effects for wages, a moving average of income over the last five years (MA(Last 5 years income)), employment status (Employed), and job tenure (years in the current job). The primary outcome variables, gamma (γ) and alpha (α), measure lifetime earnings risk. The gamma statistic measures the variance in permanent income shocks while the alpha statistic measures the variance in temporary income shocks. Both these statistics are calculated using the moment condition approach outlined in Drewianka and Oberg (2025). [5]. The income variable used is the log of the individual's hourly wage. The hourly wage is calculated by dividing annual labor income by the product of weeks worked and usual hours worked per week.

Additionally, the analysis incorporates fixed effects for occupation, industry, state of residence, and other controls such as year, race, and cohort. With the theoretical framework and data laid out, the following section turns to the empirical implementation of the model.

1. Mention CNEF and how it was combined with the PSID
2. Mention that macro economic variables are from another source and cite it
3. Discuss inconsistencies with some of the variables across years, general PSID BS, tenure, occ, ind, race even
4. Add a table with summary stats maybe? Describing people with certain combinations of characteristics, possibly a concern for overfitting with ML methods

4 Empirical Strategy

The empirical strategy of this paper is broken into two parts. The first part is estimating gamma and alpha, then contruct a weighted gamma and alpha for each individual in each year since both statistics are across i, t, j, and q. (i - individual, t - time, j and q - period or "window" used in calculation). The second part of the empirical strategy is estimating the then weighted values of each statistic using various models and variables to look for trends in the characteristics of individuals in regards to lifetime earnings risk.

For the estimation of both gamma and alpha, consolidation across j and q is done by using a mixed regression for the gamma and then a fixed effects regression to get the composite or weighted value for each person year.

The following mixed regression is used to estimate gamma based on the above equation. This is done to get an estimate of gamma for each individual in each year across j and q. A mixed regression used instead of standard OLS because $\sigma^2_{\eta_i}$ is correlated with both the constant and the coefficient on (j+k+q) as seen in equation 8 and therefore a mixed regression is used to account for this by allowing the residuals to be separately correlated with (j+k+q) for each individual i in year t. (For more on this see Drewianka and Oberg (2025) [5]) The mixed regression is as follows:

$$\gamma_{itjq} = \beta_0 + \beta_1 (j + k + q) + \beta_2 j + \epsilon_{itjq}, \tag{1}$$

$$\epsilon_{itjq} = \beta_{0it} + \beta_{1it} (j + k + q) + e_{itjq}. \tag{2}$$

The random effects component (j+k+q) models how each person-year combination may have a unique relationship with the (j+k+q) variable while the cov(unstructured) option

in Stata allows for unrestricted correlation between the random intercept and slope. The standard errors are clustered at the person level to account for within-person correlation across time.

From here a regression is run across fixed effects for each combination of j and q with year effects absorbed. Weights are then calculated for each combination of j and q based on their accuracy in predicting gamma using inverse MSE. Specifically, after estimating the fixed effects model, the mean squared residual (MSE) is calculated for each (j,q) combination, then use the square root of the inverse of these values ($\sqrt{(1/MSE)}$) as weights. Then the weighted gamma is calculated consolidating across j and q so that there are only individual-year gamma values. Having obtained individual-year estimates of earnings risk, we now examine the determinants of this risk using several regression techniques.

The second part of the empirical strategy uses various models to estimate lifetime earnings risk (gamma). We begin with the simplest specification to establish a baseline before introducing more sophisticated selection and machine-learning methods. The first model is a standard OLS regression of the lifetime earnings risk variable, gamma, on various controls and variables. The second model is a stepwise regression which selects variables based on a p-value threshold. The third model is a lasso regression which penalizes the size of the coefficients to select variables. Finally, the fourth model uses a multi-layer perceptron and SHAP values to interpret the results.

The OLS regressions are fairly standard however the stepwise and lasso models do have components that are worth mentioning. For the stepwise regression model a cutoff p-value of 0.05 is used to select variables. The model removes the least significant variable (or group of variables in the case of a set of controls) in rounds until it reaches the cutoff. 0.05 was selected so that the model would still select some variables but the rankings of the many of the variables would be clear. A higher cutoff and most of the variables would be selected and cardinal rankings would not be visible. Too low of a cutoff value and many of the variables would not be selected at all.

As for the lasso model, the model is set up to select variables based on the Bayesian Information Criterion (BIC) which is a common method for selecting variables in penalized regression. While the model selects lambda based on cross-validation, the selected model isn't very relevant to the analysis as the rankings are so the selected model isn't discussed. It is worth mentioning however that the lasso model is a penalized regression and therefore some weight is assigned to the size of the coefficients when selecting variables. This is different from the stepwise regression which is indiscriminate regarding the size of the coefficient and only considered the significance of a variable.

Finally the multi-layer perceptron model is a neural network that is used to estimate

lifetime earnings risk. The model is trained on the same variables and data used by the OLS, stepwise, and lasso models. The model is 4 dense layers (excluding the input layer) with 1000 nodes each and a linear output layer at the end. The model used a sigmoid activation function in the hidden layers to allow for continuous support. This was done instead of a ReLU activation function to allow for more definition in the parameters instead of some parts of the perceptron being "dead" and not contributing and complicating the SHAP value interpretation. This model size and structure was selected as it achieved the best performance in terms of mean squared error (MSE). The model trained with MSE as its loss function and used early stopping to prevent overfitting and trained on 70 percent of the data with the rest being used for test and validation.

The SHAP values are then used to interpret the results of the multi-layer perceptron model. SHAP values are constructed by calculating marginal contribution of a variable as a deviation from the output variable's mean if the variable was changed. This is done across a sample of observations and gives each variable a distribution of SHAP values. The summary plot shows the distribution of SHAP values for the continuous variables.

1. be sure to mention Alpha and how alpha is estimated because it is estimated differently
2. explain some of the strengths and weaknesses of some of the models, particularly lasso
3. explain the neural network part much more in depth
4. explain the reasoning being behind using OLS, as in kitchen sink approach to just see some covariates, but also that it is subject to overfitting
5. explain the advantages and disadvantages of the step wise regression, particularly mention it's advantages and disadvantages in contrast to just standard OLS, along with similarities to OLS

5 Results

5.1 Permanent Shocks

The gamma for permanent shocks is a centered heavily around 0 with a standard deviation of 0.1686 as seen in Figure 1. Being centered at 0 is due to its derivation and as seen in Figure 2 there is not a clear correlation with age aside from possibly a slight tightening past the age of 60 as the variance of gamma appears to decrease at least somewhat. To formally quantify these patterns, we next present regression estimates of gamma across several specifications.

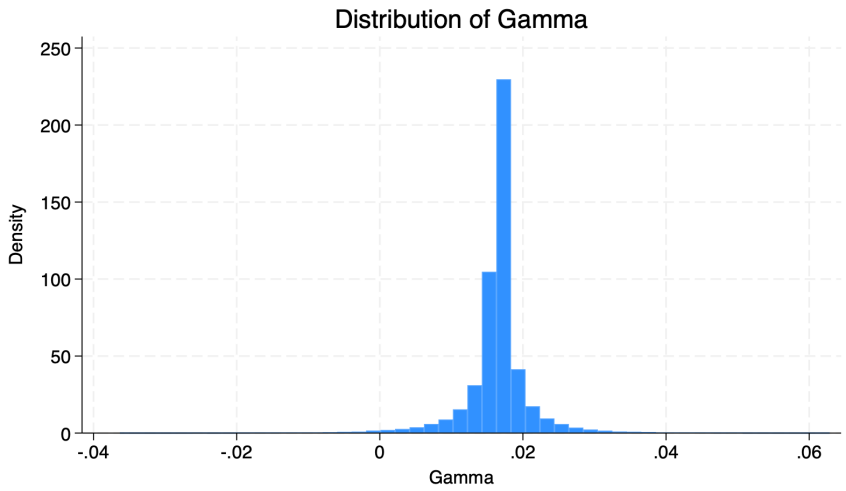

Figure 1: Distribution of Gamma

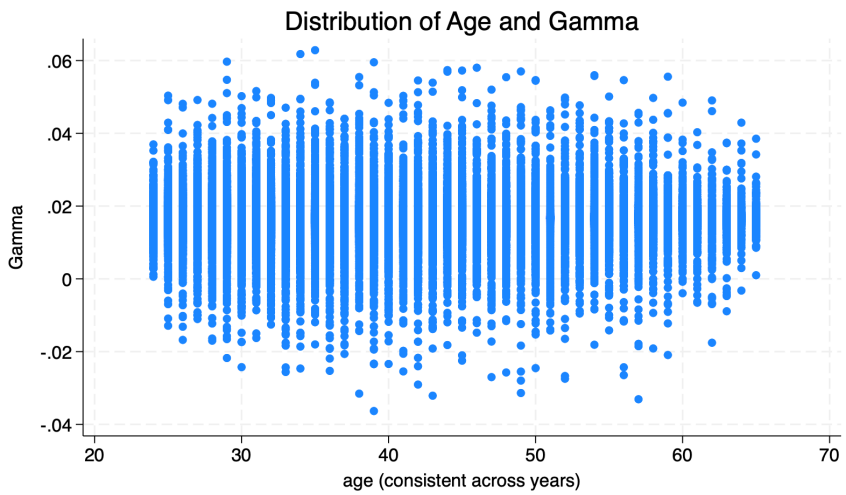

Figure 2: Scatterplot of Age vs. Gamma

Table 1: Gamma Regressions: F-Test Results

	No Occ/Ind	No Occ	No Ind	All Controls
	(1)	(2)	(3)	(4)
State FE	1.13 (0.2448)	1.11 (0.2704)	1.16 (0.2082)	1.12 (0.2601)
Year FE	0.99 (0.4753)	1.20 (0.2418)	1.20 (0.2353)	1.22 (0.2245)
Race FE	0.74 (0.5919)	0.70 (0.6206)	0.67 (0.6500)	0.71 (0.6172)
Cohort FE	5.02*** (0.0018)	4.78*** (0.0025)	4.57*** (0.0033)	4.71*** (0.0027)
Occupation FE	–	–	1.37** (0.0180)	1.48*** (0.0038)
Industry FE	–	0.68 (0.9147)	–	0.96 (0.5326)

Note: F-statistics reported with p-values in parentheses.

* p<0.10, ** p<0.05, *** p<0.01

Table 2: Gamma Regressions: Lasso Industry Selection Results

Industry	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Public Administration	1	3	10
Insurance	2	31	5
Educ./Sport	3	17	9
Health Service	4	6	14
Mechanical Eng	5	19	29
Wholesale	6	4	20
Other Trans.	7	28	7
Retail	8	2	19
Volunt./Church	9	24	28
Other Services	10	1	8
Service Indust	11	30	4
Chemicals	12	15	13
Energy/Water	13	11	21
Construction	14	23	23
Agric.,Forestry	15	13	15
Restaurants	16	12	3
Electrical Eng	17	22	11
Clothing/Text	18	14	22
Wood/Paper/Print	19	9	18
Iron/Steel	20	18	26
Postal System	21	8	27
Legal Services	22	5	1
Constr. Relate	23	10	17
Synthetics	24	25	2
Earth/Clay/Stone	25	20	6
Priv. Househld	26	29	32
Food Industry	27	7	30
Train System	28	26	16
Fisheries	29	32	24
Financial Inst	30	16	12
Mining	31	27	31
Social Security	32	21	25
Not Applicable			

Table 3: Gamma Regressions: Lasso Occupation Selection Results

Occupation	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Insurance Rep.	1	9	6
Priv.Bus.Leadr	2	1	34
Dr./Dentist/Vet	3	11	8
Educator	4	5	52
Farm Manager	5	10	1
Architect/Engineer	6	19	45
Vendor	7	4	9
Bricklay/Carpt	8	22	12
Janitor	9	6	51
Labor/Craftsmn	10	29	25
Chemist	11	52	57
Machine Fitter	12	34	30
Painter	13	36	17
Convey. Oper.	14	7	42
Stat.Mach.Oper	15	14	14
Ofc.Worker Etc	16	24	23
Electr. Enginr	17	26	13
Music/Perform	18	53	33
Eng.Tech.Expert	19	48	5
Lawyer	20	12	40
Lumbrman/Axman	21	43	24
Scientist	22	30	43
Legislator	23	13	4
Accountant	24	8	36
Aero/MarineEngr	25	33	27
Author	26	25	18
Cook/Waiter	27	32	44
Bookkeepr/Cash	28	17	10
Hair Stylist	29	47	48
Sculptr/Paintr	30	42	22
Rest./StoreMgr	31	57	53
Transp. Attend	32	60	41
Mathematician	33	28	16
Tool/Die Maker	34	27	54
ComputerOperat	35	58	71
Administrator	36	73	64
Prof. Athlete	37	70	69
Buyer	38	71	15
Farm Hand	39	54	49
Life/Phys. Sci.	40	39	60
Miner	41	50	62
RelatMedicalJob	42	31	3
Inspector	43	20	32
Stenographer	44	66	72
Tel. Operator	45	62	67
Agriculturladm	46	45	50
Jewelry Maker	47	63	35
Domestic Help	48	41	28
Broadcaster	49	68	31
Foundry Worker	50	55	29
Dry-Cleaner	51	67	65
Mailman	52	18	7
Pipe Fitter	53	16	20
BusinessManagr	54	15	37
ChemicalWorker	55	49	66
Stone Cutter	56	72	76
HH Supervisor	57	75	77
Economist	58	40	19
Transport.Oper	59	3	38
Food Producer	60	21	11
Cleric	61	38	2
Manufacturer	62	76	75
Cabinet Maker	63	44	46
Printer Etc.	64	35	21
Tech.Salespers	65	59	47
Shoemaker	66	37	56
SecurityServic	67	2	39
Conductor	68	74	61
Glazier	69	64	74
Service Worker	70	46	58
Office Manager	71	65	68
Tailor	72	56	59
Salesperson	73	77	70
Forestry Work	74	61	73
Fisher/Hunter	75	69	55
Soldier	76	23	26
Spinner/Weaver	77	51	63
Not Applicable			

Table 4: Gamma Regressions: OLS Results (Coefficients x 100)

	(1)	(2)	(3)	(4)	(5)
	Gamma	Gamma	Gamma	Gamma	Gamma
Less than High School	-0.00236	0.000451	0.00139	-0.00193	-0.0000625
	(0.00573)	(0.00619)	(0.00651)	(0.00686)	(0.00692)
High School Graduate	-0.00378	-0.00316	-0.00310	-0.00468	-0.00338
	(0.00427)	(0.00441)	(0.00469)	(0.00507)	(0.00513)
Some College	-0.0112**	-0.0113**	-0.0110**	-0.0115**	-0.0111*
	(0.00537)	(0.00542)	(0.00560)	(0.00578)	(0.00582)
Probability of Recession	0.00000979	0.0578	-0.00417	-0.00414	-0.00452
	(0.000127)	(0.0517)	(277.6)	(277.5)	(277.5)
Real GDP growth rate	0.000460	0.0208**	0.0152	0.0151	0.0165
	(0.00116)	(0.00939)	(21.45)	(21.45)	(21.45)
5-year moving average of AEP	-0.000193**	-0.000221**	-0.000168*	-0.000232**	-0.000205**
	(0.0000855)	(0.0000933)	(0.0000987)	(0.000101)	(0.000103)
Out of Labor Force	0.0138	0.0156	0.0199	0.0183	0.0201
	(0.0154)	(0.0155)	(0.0159)	(0.0159)	(0.0159)
Tenure	-0.0000347	0.0000451	-0.0000164	0.0000808	0.0000686
	(0.000256)	(0.000278)	(0.000285)	(0.000286)	(0.000287)
Age (cubic)	Yes	Yes	Yes	Yes	Yes
State FE	No	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	Yes	Yes
Race FE	No	Yes	Yes	Yes	Yes
Cohort FE	No	Yes	Yes	Yes	Yes
Occupation FE	No	No	No	Yes	Yes
Industry FE	No	No	Yes	No	Yes
R-squared	0.000	0.002	0.002	0.003	0.003
N	82357	82333	81556	81556	81556

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

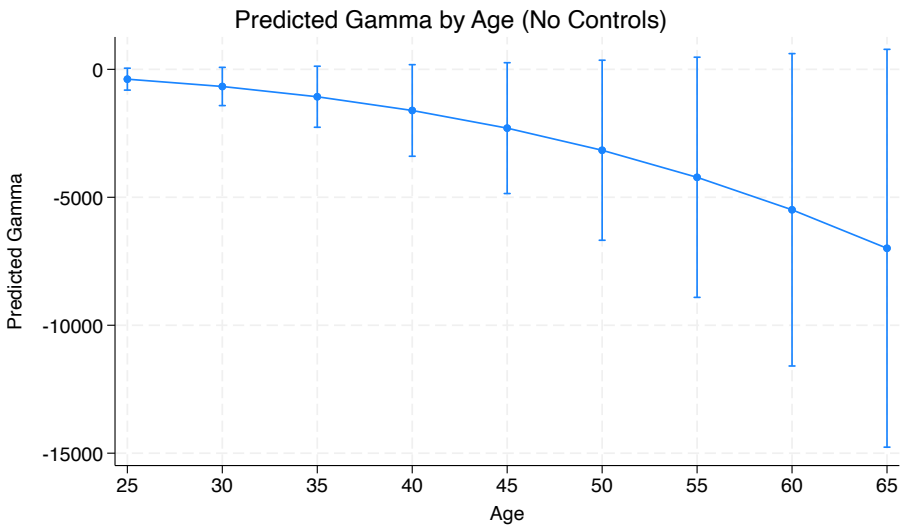

Figure 3: Predicted Gamma by Age (No Controls)

The beginning of the analysis is just simple OLS regressions of gamma. The further analysis will focus on which variables are most significant or importance and less on the actual size of the effect. However size of coefficients is something OLS can easily address. While gamma is centered around zero, variables do still have effects despite being small. Table 1 shows the OLS estimates for gamma across different specifications. The different specifications include different sets of controls, such as occupation and industry controls along with other controls such as state, year, cohort, and race.

The coefficients are quite small however some are larger than others. Firstly the edcuation variables are all significant in every model. In addition they also are the largest coefficients outside of the fixed effects in just about every model. The less than high school variable is specifically a clear winner for being the largest averaging around -0.01.

The high school and some college variables are smaller than less than highschoool which would imply that the common intution is still true and that a high school diploma and college education does provide stabler long term employment and earnings overall.

The other variables that are significant are the age variables. The age, age squared, and age cubed variables are all significant in all models. The interesting result is that the age squared and cubed variables are slightly more significant than the regular age variable. On some level it is expected that towards the end of a person's career they would become more risk averse and it is possible the squared and cubed terms capture this variation occurring right before and after retirement. Regardless they do imply a nonlinear relation between age and permanent income shocks. Overall the OLS results show that education and age are important in explaining permanent earnings shocks. This pattern continues in the stepwise

and lasso results.

Table 5: Gamma Regressions: Stepwise Selection Results (Coefficients x 100)

	(1) Gamma	(2) Gamma	(3) Gamma	(4) Gamma	(5) Gamma
Age	-0.00370**	-0.0186*	-0.0190*	-0.0192*	-0.0192*
	(0.00135)	(0.00778)	(0.00784)	(0.00786)	(0.00786)
5-year moving average of AEP	-0.000201**	-0.000210**	-0.000204**	-0.000239**	-0.000239**
	(0.0000757)	(0.0000768)	(0.0000776)	(0.0000893)	(0.0000893)
Some College	-0.00913*	-0.00999*	-0.00964*		
	(0.00462)	(0.00464)	(0.00468)		
Age Squared	0.0000429**	0.000415*	0.000424*	0.000427*	0.000427*
	(0.0000160)	(0.000188)	(0.000190)	(0.000191)	(0.000191)
Age Cubed		-0.00000291*	-0.00000299*	-0.00000299*	-0.00000299*
		(0.00000147)	(0.00000149)	(0.00000149)	(0.00000149)
Constant	0.0173***	0.0192***	0.0192***	0.0195***	0.0195***
	(0.000280)	(0.00104)	(0.00104)	(0.00106)	(0.00106)
State FE					
Year FE					
Race FE					
Cohort FE		✓	✓	✓	✓
Occupation FE				✓	✓
Industry FE					
State FE Available	No	Yes	Yes	Yes	Yes
Year FE Available	No	Yes	Yes	Yes	Yes
Race FE Available	No	Yes	Yes	Yes	Yes
Cohort FE Available	No	Yes	Yes	Yes	Yes
Occupation FE Available	No	No	No	Yes	Yes
Industry FE Available	No	No	Yes	No	Yes
R-squared	0.000	0.000	0.000	0.002	0.002
N	82357	82333	81556	81556	81556

Standard errors in parentheses

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

The stepwise results in Table 2 follow closely the OLS output. This is unsurprising as they both in the end are just OLS where stepwise is just an extension that removes insignificant variables. As a result, you get somewhat analogous results to OLS.

Similar to the OLS results, the education, variables, age variables and the annual earnings

percentile variable, all play a role in predicting permanent income shocks and are all selected in almost every model. A surprising result is that none of the state, year, race, or cohort controls are selected in any of the models.

The occupation and industry controls however, are a different story and are selected in every model where they can be selected. The part that stands out is that the linear age variable and the annual earnings percentile variable are not selected in the third model where only industry controls are allowed. However, surprisingly, they are both included in the fourth and fifth model that allows the occupation controls and furthermore the occupation and industry controls at the same time. This is to say that the within industry variation across age is highly nonlinear, whereas the within occupation or within industry occupation variation across age has some sort of linear component.

Table 6: Gamma Regressions: Lasso Selection Results

	No Controls	No Occ/Ind	No Occ	No Ind	All Controls
EDU1	6	9	7	8	8
EDU2	4	6	6	5	6
EDU3	1	2	2	2	2
OLF	2	5	4	4	5
PrRecess	8				
currentage	4	7	8	7	7
currentagecube	5	4	3	2	3
currentagesq	9	10	10	9	9
ma5aep	1	3	5	3	4
rGDPgrow	3				
tenure	7	8	9	6	7
State FE	No	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	Yes	Yes
Race FE	No	Yes	Yes	Yes	Yes
Cohort FE	No	Yes	Yes	Yes	Yes
Occupation FE	No	No	No	Yes	Yes
Industry FE	No	No	Yes	No	Yes

Now moving on to the lasso results shown in Table 3. As mentioned before lasso is

a penalized regression and tries to force coefficients to zero. This means lasso gives some weight to the size of the coefficients (relatively speaking) compared to stepwise which cares only about the p-value. The first point to be made is that all the controls are selected in all cases. The configuration of this lasso model is the same as the stepwise model in that it can either include an entire set of controls or none of them.

Moving on from the controls, the three education variables are ranked quite high in importance similar to the stepwise models as they were in the top four variables in every case. In addition, the earnings percentile plays consistently an important role as it is always selected in the top five cases.

However one pattern that does break here is the age variables. The age variables are among the least relevant variables in this analysis. Particularly the higher order age variables which is were some of the last variables selected by the model. This is in contrast to the OLS results where the higher order age variables were slightly more significant than the regular age variable and where age as a whole was significant. The hypothesis there being that these higher order age terms were capturing a variation in earnings around retirement. However in the lasso models this is not the case and doesn't support the hypothesis that age and permanent income shocks share a nonlinear relationship.

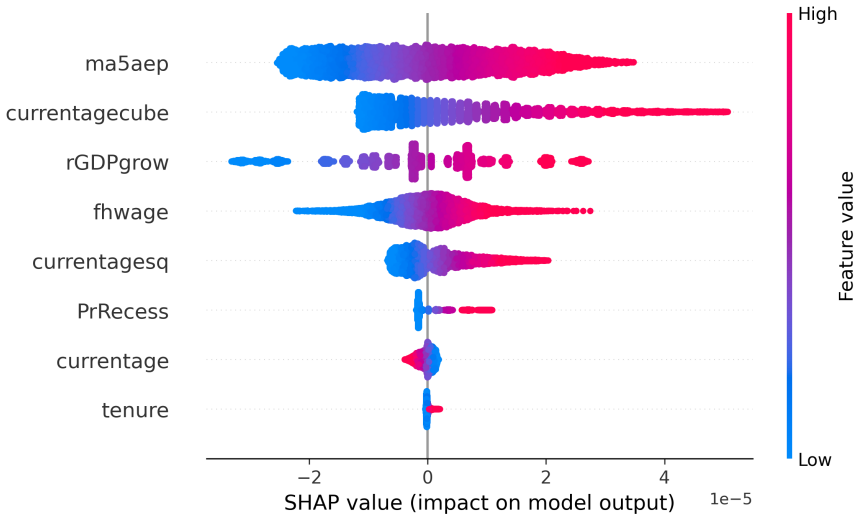

Figure 4: SHAP Summary Plot for Gamma (Coefficients x 100)

Finally, for the permanent income shocks, the SHAP summary plot in Figure 3 shows the importance of each variable in predicting gamma.

For most variables, the distribution isn't particularly abnormal in an interesting way. However, the different distributions for the age variables do shed some light on what is going on in the earlier analysis. The two higher-order age variables show a very long tail at high

age values, and this is true for both the squared and cubed terms. In contrast, the linear age variable doesn't show nearly as much deviation from zero.

This result is consistent with the earlier analysis, which suggested a nonlinear relationship with age to some degree, and it supports the hypothesis that much of the risk captured in that nonlinear relationship reflects variation in income levels at much higher ages. For all three age variables here, the effects of a lower age remains relatively close to zero, whereas the high and exceptionally high age values push far away from zero and have a much larger effect.

5.2 Transitory Shocks

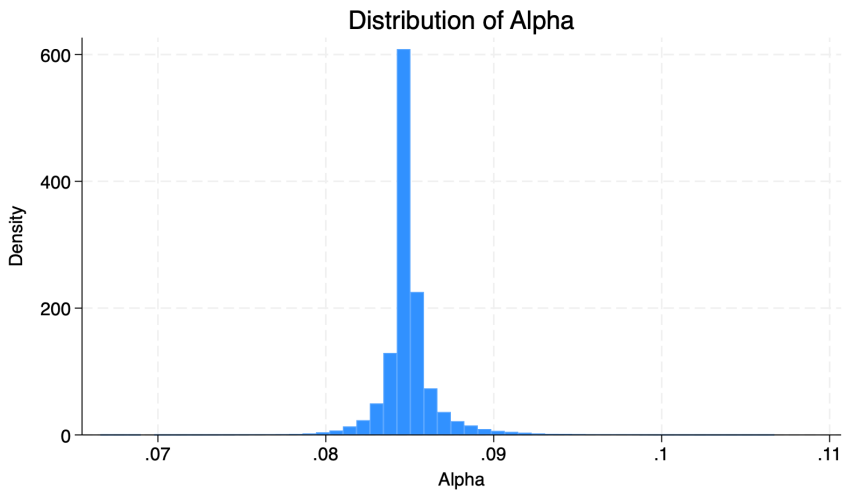

Figure 5: Distribution of Alpha

Moving onto the transitory earnings shocks or alpha, it also is centered around zero. However, unlike gamma this distribution is somewhat skewed with the right tail, going off a bit farther than the left. This is further seen in the distribution of alpha across age where some values reach above 5 but no values come close to coming below -5.

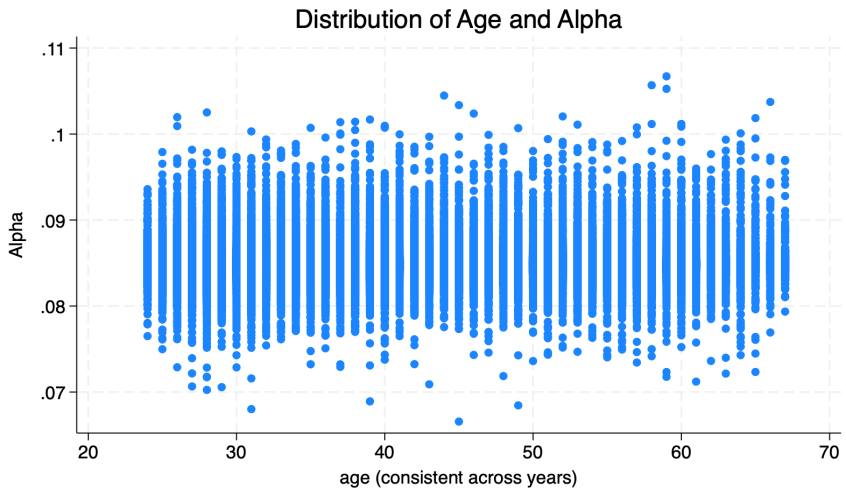

Figure 6: Scatterplot of Age vs. Alpha

Table 7: Alpha Regressions: F-Test Results

	No Occ/Ind	No Occ	No Ind	All Controls
	(1)	(2)	(3)	(4)
State FE	3.33*** (0.0000)	3.01*** (0.0000)	3.17*** (0.0000)	2.99*** (0.0000)
Year FE	2.94*** (0.0000)	2.92*** (0.0000)	3.08*** (0.0000)	2.98*** (0.0000)
Race FE	2.83** (0.0148)	3.52*** (0.0035)	3.15*** (0.0076)	3.63*** (0.0027)
Cohort FE	10.62*** (0.0000)	10.79*** (0.0000)	10.82*** (0.0000)	11.16*** (0.0000)
Occupation FE	–	–	3.86*** (0.0000)	3.20*** (0.0000)
Industry FE	–	6.14*** (0.0000)	–	4.55*** (0.0000)

Note: F-statistics reported with p-values in parentheses.

* p<0.10, ** p<0.05, *** p<0.01

Table 8: Alpha Regressions: Lasso Industry Selection Results

Industry	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Educ./Sport	1	9	7
Public Administration	2	3	6
Mechanical Eng	3	1	4
Retail	4	5	1
Health Service	5	8	21
Wholesale	6	6	16
Wood/Paper/Print	7	4	25
Other Trans.	8	11	3
Clothing/Text	9	16	24
Energy/Water	10	15	14
Iron/Steel	11	7	27
Constr. Relate	12	31	29
Restaurants	13	28	17
Electrical Eng	14	14	22
Other Services	15	22	2
Insurance	16	18	10
Food Industry	17	17	13
Volunt./Church	18	21	5
Service Indust	19	27	28
Chemicals	20	20	19
Construction	21	13	12
Earth/Clay/Stone	22	26	26
Postal System	23	10	9
Synthetics	24	19	20
Financial Inst	25	12	23
Mining	26	25	18
Social Security	27	30	31
Train System	28	24	15
Fisheries	29	29	30
Priv. Househld	30	32	32
Legal Services	31	23	11
Agric.,Forestry	32	2	8
Not Applicable			

Table 9: Alpha Regressions: Lasso Occupation Selection Results

Occupation	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Farm Manager	1	1	18
Machine Fitter	2	3	1
Architect/Engineer	3	8	8
Labor/Craftsmn	4	2	22
Transport.Oper	5	14	25
Mathematician	6	4	5
Insurance Rep.	7	18	45
Convey. Oper.	8	7	52
Ofc.Worker Etc	9	11	7
Office Manager	10	32	31
Priv.Bus.Leadr	11	13	21
BusinessManagr	12	10	24
Electr. Enginr	13	17	27
Inspector	14	9	2
Bricklay/Carpt	15	41	3
Eng.Tech.Expert	16	15	13
Janitor	17	20	50
Scientist	18	21	47
Mailman	19	5	16
Educator	20	16	20
Music/Perform	21	39	23
Painter	22	34	14
Printer Etc.	23	25	37
SecurityServic	24	23	15
RelatMedicalJob	25	27	11
Vendor	26	12	4
Pipe Fitter	27	26	6
Agriculturladm	28	44	48
Service Worker	29	31	61
Bookkeepr/Cash	30	35	55
Legislator	31	60	10
Soldier	32	29	12
ComputerOperat	33	40	58
Fisher/Hunter	34	42	29
Stat.Mach.Oper	35	30	38
Tool/Die Maker	36	6	34
Author	37	54	39
Rest./StoreMgr	38	52	40
Cleric	39	33	51
Chemist	40	48	42
Lumbrman/Axman	41	69	46
Food Producer	42	22	19
Dr./Dentist/Vet	43	37	9
Aero/MarineEngr	44	38	17
Prof. Athlete	45	55	41
Hair Stylist	46	74	33
Economist	47	75	44
Accountant	48	19	49
ChemicalWorker	49	46	73
Spinner/Weaver	50	47	72
Stenographer	51	62	64
Broadcaster	52	70	60
Life/Phys. Sci.	53	24	32
Tel. Operator	54	72	62
Cabinet Maker	55	57	36
Domestic Help	56	53	63
Forestry Work	57	68	70
Buyer	58	50	43
Jewelry Maker	59	66	71
Tech.Salespers	60	59	57
Sculptr/Paintr	61	58	28
Glazier	62	63	59
Salesperson	63	51	68
Shoemaker	64	64	74
Tailor	65	56	30
Dry-Cleaner	66	61	54
Farm Hand	67	65	66
Cook/Waiter	68	28	53
Transp. Attend	69	73	65
Miner	70	49	56
Lawyer	71	45	35
Stone Cutter	72	77	75
Conductor	73	67	69
Foundry Worker	74	43	67
Manufacturer	75	71	76
Administrator	76	36	26
HH Supervisor	77	76	77
Not Applicable			

Table 10: Alpha Regressions: OLS Results (Coefficients x 100)

	(1)	(2)	(3)	(4)	(5)
	Alpha	Alpha	Alpha	Alpha	Alpha
Less than High School	0.00368**	0.00436**	0.00249	0.00391*	0.00316
	(0.00185)	(0.00200)	(0.00211)	(0.00223)	(0.00224)
High School Graduate	0.00548***	0.00604***	0.00501***	0.00613***	0.00551***
	(0.00141)	(0.00145)	(0.00155)	(0.00168)	(0.00169)
Some College	0.00777***	0.00762***	0.00683***	0.00692***	0.00651***
	(0.00177)	(0.00178)	(0.00186)	(0.00192)	(0.00193)
Probability of Recession	0.0000674	0.00135	0.0127	0.0128	0.0135
	(0.0000411)	(76.56)	(0.0322)	(0.0322)	(0.0322)
Real GDP growth rate	0.000168	-0.00696	-0.00785**	-0.00784**	-0.00809**
	(0.000378)	(0.666)	(0.00317)	(0.00316)	(0.00317)
5-year moving average of AEP	0.000172***	0.000149***	0.0000996***	0.000155***	0.000129***
	(0.0000273)	(0.0000297)	(0.0000318)	(0.0000323)	(0.0000332)
Out of Labor Force	0.0113**	0.0107**	0.00955**	0.00991**	0.00932**
	(0.00447)	(0.00448)	(0.00468)	(0.00467)	(0.00468)
Tenure	-0.000374***	-0.000522***	-0.000565***	-0.000576***	-0.000572***
	(0.0000818)	(0.0000892)	(0.0000922)	(0.0000925)	(0.0000928)
Age (cubic)	Yes	Yes	Yes	Yes	Yes
State FE	No	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	Yes	Yes
Race FE	No	Yes	Yes	Yes	Yes
Cohort FE	No	Yes	Yes	Yes	Yes
Occupation FE	No	No	No	Yes	Yes
Industry FE	No	No	Yes	No	Yes
R-squared	0.002	0.005	0.007	0.008	0.009
N	102946	102910	100781	100781	100781

Standard errors in parentheses

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$

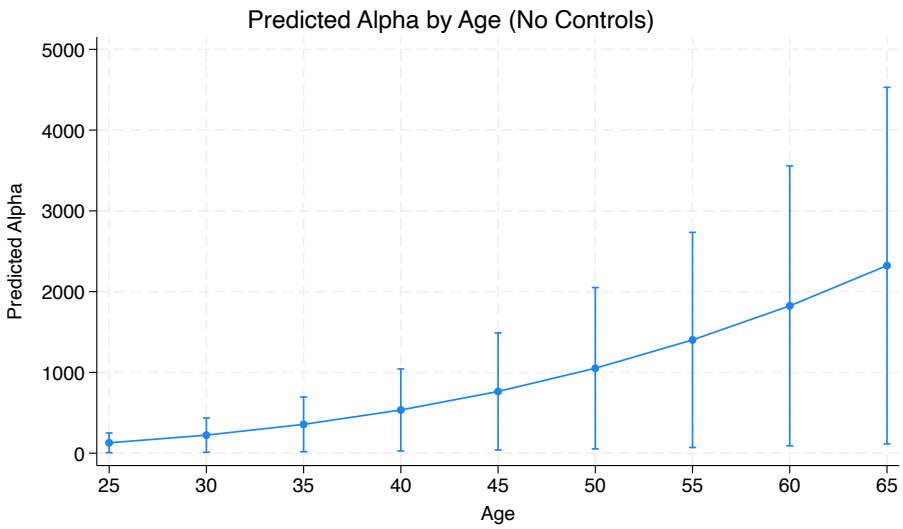

Figure 7: Predicted Alpha by Age (No Controls)

Similar to analysis of gamma we start with the OLS results where a much different story is being told. First education seems to play an important role still as both the less than high school and high school graduate variables are significant and every model. However the some college variable is not significant in any model. This implies that having some college experience is not correlated with transitory shock to income. This is interesting as one would expect college to decrease the risk of year-to-year shocks to someone's income however, this doesn't seem to be supported by the OLS results.

Moving on from education, age again seems to play an important role as all the age variables are significant in every model. However in contrast to gamma, here the age variable is significant and quite large relative to the higher order age variables. So it seems while there are nonlinear elements to the relationship, that much of the correlation is linear. Also as would be expected for a transitory shock like this, being out of the labor force has a very large and significant effect across all models.

Table 11: Alpha Regressions: Stepwise Selection Results (Coefficients x 100)

	(1) Alpha	(2) Alpha	(3) Alpha	(4) Alpha	(5) Alpha
Less than High School	0.00362*	0.00421*			
	(0.00182)	(0.00199)			
High School Graduate	0.00542***	0.00594***	0.00386**	0.00418**	0.00389**
	(0.00140)	(0.00144)	(0.00123)	(0.00128)	(0.00128)
Some College	0.00776***	0.00759***	0.00595***	0.00546**	0.00532**
	(0.00177)	(0.00178)	(0.00169)	(0.00172)	(0.00173)
Probability of Recession	0.0000525*				
	(0.0000259)				
Age Cubed	7.66e-08***	0.00000111**	0.00000106*	0.00000114**	0.00000110*
	(9.43e-09)	(0.000000421)	(0.000000429)	(0.000000429)	(0.000000429)
5-year moving average of AEP	0.000170***	0.000151***	0.000113***	0.000172***	0.000142***
	(0.0000262)	(0.0000296)	(0.0000295)	(0.0000311)	(0.0000320)
Out of Labor Force	0.0121**	0.0107*	0.00942*	0.00972*	0.00919*
	(0.00445)	(0.00448)	(0.00468)	(0.00467)	(0.00468)
Tenure	-0.000379***	-0.000512***	-0.000541***	-0.000553***	-0.000543***
	(0.0000816)	(0.0000881)	(0.0000903)	(0.0000907)	(0.0000909)
Age		0.00540*	0.00505*	0.00538*	0.00518*
		(0.00232)	(0.00236)	(0.00236)	(0.00236)
Age Squared		-0.000136*	-0.000129*	-0.000138*	-0.000133*
		(0.0000550)	(0.0000560)	(0.0000560)	(0.0000560)
Constant	0.0848***	0.0842***	0.0842***	0.0841***	0.0841***
	(0.0000155)	(0.000366)	(0.000373)	(0.000374)	(0.000374)
State FE		✓	✓	✓	✓
Year FE		✓	✓	✓	✓
Race FE		✓	✓	✓	✓
Cohort FE		✓	✓	✓	✓
Occupation FE				✓	✓
Industry FE			✓		✓
State FE Available	No	Yes	Yes	Yes	Yes
Year FE Available	No	Yes	Yes	Yes	Yes
Race FE Available	No	Yes	Yes	Yes	Yes
Cohort FE Available	No	Yes	Yes	Yes	Yes
Occupation FE Available	No	No	No	Yes	Yes
Industry FE Available	No	No	Yes	No	Yes
R-squared	0.002	0.005	0.007	0.008	0.009
N	102946	102910	100781	100781	100781

Standard errors in parentheses

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

For the stepwise results, the same variables remain: the first two education variables, the age variables, being out of the labor force, and the moving average annual earnings percentile variable. In addition, real GDP growth and the 10-year variable are included in the very first model, as both were reasonably significant in the OLS results (though only in the first model).

An intriguing piece of this puzzle is that, from the first model to the second model, the only change is that the state, year, race, and cohort controls are allowed. In the second model, the state, year, and race controls are selected by the model, and suddenly real GDP and the 10-year variable are no longer significant at a high enough level, though real GDP growth remains only mildly significant. The 10-year variable is very significant in the first model and drops off completely in the second model. Real GDP dropping out in the second model isn't surprising, since the year fixed effects would be expected to capture much of that variation. However, the 10-year variable dropping out is intriguing. It's tricky to imagine that the variation in the 10-year rate is being captured by state variation; however, year and race patterns, perhaps driven by strong structural or policy changes—could potentially explain the shift. This is something worth further exploration.

Table 12: Alpha Regressions: Lasso Selection Results

	No Controls	No Occ/Ind	No Occ	No Ind	All Controls
EDU1	8	7	8	7	7
EDU2	6	5	6	5	5
EDU3	5	5	5	5	5
OLF	3	4	4	4	4
PrRecess	7				
currentage		8	9	8	8
currentagecube	2	6	7	6	6
currentagesq					
ma5aep	1	2	3	3	3
rGDPgrow	9				
tenure	4	3	2	2	2
State FE	No	Yes	Yes	Yes	Yes
Year FE	No	Yes	Yes	Yes	Yes
Race FE	No	Yes	Yes	Yes	Yes
Cohort FE	No	Yes	Yes	Yes	Yes
Occupation FE	No	No	No	Yes	Yes
Industry FE	No	No	Yes	No	Yes

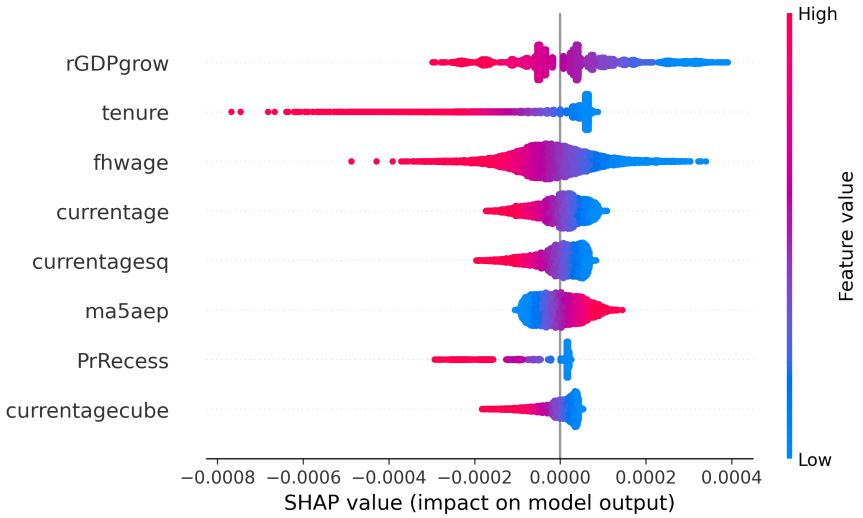

Figure 8: SHAP Summary Plot for Alpha (Coefficients x 100)

6 Conclusion

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A Appendix

Table 13: Gamma Regressions: Lasso Industry Selection Results

Industry	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Public Administration	1	3	10
Insurance	2	31	5
Educ./Sport	3	17	9
Health Service	4	6	14
Mechanical Eng	5	19	29
Wholesale	6	4	20
Other Trans.	7	28	7
Retail	8	2	19
Volunt./Church	9	24	28
Other Services	10	1	8
Service Indust	11	30	4
Chemicals	12	15	13
Energy/Water	13	11	21
Construction	14	23	23
Agric.,Forestry	15	13	15
Restaurants	16	12	3
Electrical Eng	17	22	11
Clothing/Text	18	14	22
Wood/Paper/Print	19	9	18
Iron/Steel	20	18	26
Postal System	21	8	27
Legal Services	22	5	1
Constr. Relate	23	10	17
Synthetics	24	25	2
Earth/Clay/Stone	25	20	6
Priv. Househld	26	29	32
Food Industry	27	7	30
Train System	28	26	16
Fisheries	29	32	24
Financial Inst	30	16	12
Mining	31	27	31
Social Security	32	21	25
Not Applicable			

Table 14: Gamma Regressions: Lasso Occupation Selection Results

Occupation	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Insurance Rep.	1	9	6
Priv.Bus.Leadr	2	1	34
Dr./Dentist/Vet	3	11	8
Educator	4	5	52
Farm Manager	5	10	1
Architect/Engineer	6	19	45
Vendor	7	4	9
Bricklay/Carpt	8	22	12
Janitor	9	6	51
Labor/Craftsmn	10	29	25
Chemist	11	52	57
Machine Fitter	12	34	30
Painter	13	36	17
Convey. Oper.	14	7	42
Stat.Mach.Oper	15	14	14
Ofc.Worker Etc	16	24	23
Electr. Enginr	17	26	13
Music/Perform	18	53	33
Eng.Tech.Expert	19	48	5
Lawyer	20	12	40
Lumbrman/Axman	21	43	24
Scientist	22	30	43
Legislator	23	13	4
Accountant	24	8	36
Aero/MarineEngr	25	33	27
Author	26	25	18
Cook/Waiter	27	32	44
Bookkeepr/Cash	28	17	10
Hair Stylist	29	47	48
Sculptr/Paintr	30	42	22
Rest./StoreMgr	31	57	53
Transp. Attend	32	60	41
Mathematician	33	28	16
Tool/Die Maker	34	27	54
ComputerOperat	35	58	71
Administrator	36	73	64
Prof. Athlete	37	70	69
Buyer	38	71	15
Farm Hand	39	54	49
Life/Phys. Sci.	40	39	60
Miner	41	50	62
RelatMedicalJob	42	31	3
Inspector	43	20	32
Stenographer	44	66	72
Tel. Operator	45	62	67
Agriculturladm	46	45	50
Jewelry Maker	47	63	35
Domestic Help	48	41	28
Broadcaster	49	68	31
Foundry Worker	50	55	29
Dry-Cleaner	51	67	65
Mailman	52	18	7
Pipe Fitter	53	16	20
BusinessManagr	54	15	37
ChemicalWorker	55	49	66
Stone Cutter	56	72	76
HH Supervisor	57	75	77
Economist	58	40	19
Transport.Oper	59	3	38
Food Producer	60	21	11
Cleric	61	38	2
Manufacturer	62	76	75
Cabinet Maker	63	44	46
Printer Etc.	64	35	21
Tech.Salespers	65	59	47
Shoemaker	66	37	56
SecurityServic	67	2	39
Conductor	68	74	61
Glazier	69	64	74
Service Worker	70	46	58
Office Manager	71	65	68
Tailor	72	56	59
Salesperson	73	77	70
Forestry Work	74	61	73
Fisher/Hunter	75	69	55
Soldier	76	23	26
Spinner/Weaver	77	51	63
Not Applicable			

Table 15: Alpha Regressions: Lasso Industry Selection Results

Industry	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Educ./Sport	1	9	7
Public Administration	2	3	6
Mechanical Eng	3	1	4
Retail	4	5	1
Health Service	5	8	21
Wholesale	6	6	16
Wood/Paper/Print	7	4	25
Other Trans.	8	11	3
Clothing/Text	9	16	24
Energy/Water	10	15	14
Iron/Steel	11	7	27
Constr. Relate	12	31	29
Restaurants	13	28	17
Electrical Eng	14	14	22
Other Services	15	22	2
Insurance	16	18	10
Food Industry	17	17	13
Volunt./Church	18	21	5
Service Indust	19	27	28
Chemicals	20	20	19
Construction	21	13	12
Earth/Clay/Stone	22	26	26
Postal System	23	10	9
Synthetics	24	19	20
Financial Inst	25	12	23
Mining	26	25	18
Social Security	27	30	31
Train System	28	24	15
Fisheries	29	29	30
Priv. Househld	30	32	32
Legal Services	31	23	11
Agric.,Forestry	32	2	8
Not Applicable			

Table 16: Alpha Regressions: Lasso Occupation Selection Results

Occupation	LASSO SHAP Order	NN SHAP Order	RF SHAP Order
Farm Manager	1	1	18
Machine Fitter	2	3	1
Architect/Engineer	3	8	8
Labor/Craftsmn	4	2	22
Transport.Oper	5	14	25
Mathematician	6	4	5
Insurance Rep.	7	18	45
Convey. Oper.	8	7	52
Ofc.Worker Etc	9	11	7
Office Manager	10	32	31
Priv.Bus.Leadr	11	13	21
BusinessManagr	12	10	24
Electr. Enginr	13	17	27
Inspector	14	9	2
Bricklay/Carpt	15	41	3
Eng.Tech.Expert	16	15	13
Janitor	17	20	50
Scientist	18	21	47
Mailman	19	5	16
Educator	20	16	20
Music/Perform	21	39	23
Painter	22	34	14
Printer Etc.	23	25	37
SecurityServic	24	23	15
RelatMedicalJob	25	27	11
Vendor	26	12	4
Pipe Fitter	27	26	6
Agriculturladm	28	44	48
Service Worker	29	31	61
Bookkeepr/Cash	30	35	55
Legislator	31	60	10
Soldier	32	29	12
ComputerOperat	33	40	58
Fisher/Hunter	34	42	29
Stat.Mach.Oper	35	30	38
Tool/Die Maker	36	6	34
Author	37	54	39
Rest./StoreMgr	38	52	40
Cleric	39	33	51
Chemist	40	48	42
Lumbrman/Axman	41	69	46
Food Producer	42	22	19
Dr./Dentist/Vet	43	37	9
Aero/MarineEngr	44	38	17
Prof. Athlete	45	55	41
Hair Stylist	46	74	33
Economist	47	75	44
Accountant	48	19	49
ChemicalWorker	49	46	73
Spinner/Weaver	50	47	72
Stenographer	51	62	64
Broadcaster	52	70	60
Life/Phys. Sci.	53	24	32
Tel. Operator	54	72	62
Cabinet Maker	55	57	36
Domestic Help	56	53	63
Forestry Work	57	68	70
Buyer	58	50	43
Jewelry Maker	59	66	71
Tech.Salespers	60	59	57
Sculptr/Paintr	61	58	28
Glazier	62	63	59
Salesperson	63	51	68
Shoemaker	64	64	74
Tailor	65	56	30
Dry-Cleaner	66	61	54
Farm Hand	67	65	66
Cook/Waiter	68	28	53
Transp. Attend	69	73	65
Miner	70	49	56
Lawyer	71	45	35
Stone Cutter	72	77	75
Conductor	73	67	69
Foundry Worker	74	43	67
Manufacturer	75	71	76
Administrator	76	36	26
HH Supervisor	77	76	77
Not Applicable			